

CraftCircle: Local Artisan Bulk Buying Club

Go-to-Market & Customer Operations, Case Study 25 · Sep 28, 2026 ·

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1. Problem and Opportunity

CraftCircle is a neighbourhood buying club that lets households pool orders from local artisans, cutting logistics cost on a typical ₹12,000 order from ₹1,800 to ₹700, a saving of ₹1,100 (61.1%).

Problem statement. Urban households that prefer authentic local handmade goods cannot buy them affordably in small quantities, because every parcel carries a full shipping charge of about 15% of the basket.

Opportunity statement. By pooling demand into scheduled order windows, CraftCircle cuts logistics to about 5.8% of order value (₹700 versus ₹1,800 on a ₹12,000 order), gives artisans prepaid batched orders, and earns a commission for running the club.

Assumption: the ₹12,000 pooled order is shared by about 8 households, and ₹1,800 is the total shipping if those households ordered separately.

2. Target Customers and Value Proposition

CraftCircle starts with urban households aged 28-45 in Navi Mumbai housing societies (primary), then widens to gifting buyers (secondary) and small businesses such as cafés and studios (tertiary). Persona: Neha, 34, a product manager in a Kharghar society, income about ₹20 lakh, buys handmade décor 8 times a year and resents ₹200+ shipping on a ₹1,200 basket.

Value Proposition Canvas

Customer profile	CraftCircle value map
Jobs: furnish and gift authentically, support local makers	Membership, curated catalogue, weekly windows, pooled delivery
Pains: ₹225 shipping, several parcels, quality doubts	₹87.50 shipping per member, one delivery, verified artisans, replacement promise

Customer profile	CraftCircle value map
Gains: lower cost, one delivery, provenance, community	Savings tracker, maker stories, pod leaderboards, early access

3. Customer Journey and Club Design

Each order cycle takes about two weeks from window opening to delivery, driven by one weekly cut-off.

1. Discover and join via WhatsApp, referral or pop-up; pick a pod (owner: community lead).
2. Browse and pledge before the cut-off, watching the pool tracker (owner: platform).
3. Pool confirms at the minimum; payment is captured (owner: ops coordinator).
4. Artisans make and ship in 3-5 days; hub inspects and packs per member (owners: artisan, hub).
5. Member collects at the pod with OTP handover (owner: logistics partner).
6. Feedback and reorder; next window opens (owner: support).

Essential features. Membership ₹499 a year (₹299 founding); pods of 15-40 households led by a captain. Catalogue of about 100 items from 15 verified artisans, each labelled ready-stock or made-to-order with its lead time. Window opens Monday 9 am, closes Sunday 8 pm; pool confirms at ₹10,000 and 6 members, else extends once by 3 days; members are charged only on confirmation.

4. Supply Chain and Operating Flow

Orders flow from members to artisans and back through one local hub, so many parcels travel together on a single shared trip (the full diagram is in the separate Supply Chain deliverable).

Flow. Members pledge, then the pool confirms and payment is captured, purchase orders go to artisans, artisans make and ship in 3-5 days, the hub inspects and packs per member, and one pooled delivery reaches the pod pick-up point.

Money and responsibilities. Members pay on pool confirmation; funds are held until dispatch, then artisans are paid less the 12% commission. Artisans make and dispatch to specification; the ops coordinator runs windows, confirms pools and pays artisans; the hub team inspects and packs; the logistics partner runs one shared trip with OTP handover; pod captains and support handle pick-up alerts and replacements within 48 hours.

5. Revenue, Costs and Unit Economics

Each pooled ₹12,000 order earns about ₹1,009 in contribution (8.4% of order value), and the club breaks even at about 36 pooled orders a month.

Revenue streams. (1) A 12% commission on artisan sales. (2) An annual membership of ₹499 (₹299 for founding members). (3) Later, not modelled: sponsored artisan spotlights and corporate gift hampers. The ₹700 delivery charge is passed to members at cost.

Unit economics per pooled order (8 members)	₹	Basis
Commission revenue	1,440	12% of ₹12,000
Membership revenue	333	8 members × ₹499 ÷ 12
Variable cost	764	Gateway 254 + hub 360 + support 150; the ₹700 logistics nets to zero
Contribution per pooled order	1,009	1,773 - 764, or 8.4% of ₹12,000

Break-even and outlook. Fixed costs of ₹36,000 a month ÷ ₹1,009 contribution gives about 36 pooled orders a month to break even. A member saves ₹137.50 per order, so the ₹499 fee pays back in about 4 orders. The 90-day plan reaches 4, 18 and 40 pooled orders across months 1-3 (62 total), earning ₹62,558 contribution against ₹1,08,000 fixed cost, a net of -₹45,442; with the ₹60,000 launch budget, peak funding need is about ₹1.05 lakh, and members save ₹68,200 in logistics.

6. SWOT and Risk Register

CraftCircle's strength is a proven 61% logistics saving; its main exposure is depending on enough members joining each pool.

Strengths	Weaknesses
61% cheaper logistics; prepaid artisan demand; trusted pods; low stock risk	7-10 day delivery; needs pool volume; new brand
Opportunities	Threats
Local and sustainable demand; WhatsApp reach; gifting seasons	Instagram sellers; courier price rises; artisans selling direct

#	Risk	Impact	Mitigation
1	Pool misses ₹10,000 minimum	High	Pod captains; one 3-day extension; merge pods
2	Artisan delays	High	Two artisans per category; ready-stock items
3	Damage or quality mismatch	Medium	Hub check; replacement promise
4	Slow member growth	High	Two channels; founding price; referral credits

7. Business Model, Go-to-Market and 90-Day Plan

CraftCircle should run as a community-led, two-sided marketplace, launched one housing-society pod at a time in Navi Mumbai: members pay an annual fee for pooled shipping, and artisans pay a 12% commission only when they sell.

Early-member channels. (1) Society pods and captains: one volunteer captain per society, a demo order in the WhatsApp group, ₹299 founding price and a ₹100 referral credit (target 300 members). (2) Artisan co-marketing and pop-ups: artisans share join links, weekend pop-ups with QR sign-up (target 150 members). The ₹60,000 launch budget covers referral credits, stalls, photography and packaging.

90-day phase	Targets	Gate
Days 1-30: Prepare	15 artisans, 3 pods, 100 founding members	First pool fills; 100 members
Days 31-60: Pilot	6 pods, 250 members, 18 orders	85% pools fill; 90% on time
Days 61-90: Scale	10 pods, 450 members, 40 orders/month	36+ orders/month; NPS 50+

A missed gate means repeating that phase. Success by day 90: 450 members, 40 pooled orders a month (break-even is 36), 85%+ pool fill, ₹700 or lower logistics per order, 90%+ on-time delivery, under 2% damage, 40%+ repeat members, NPS 50+, and acquisition cost of ₹150 or less per member.